For Performance Measurement

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTING **4051/2**
PAPER 2 2 hours 30 minutes

SPECIMEN PAPER

Additional materials:
Answer booklet
Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number on the answer booklet provided.

Answer **all** questions.

Write your answers on the separate answer booklet provided.

All calculations must be shown adjacent to the answer.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [ ] at the end of each question or part question.

Amounts used in this Question Paper are for calculation purposes only.

The businesses described in this paper are intended to be fictitious.

This specimen paper consists of 8 printed pages.

[Turn over

1 D. Makanaka is a sole proprietor. The following balances were obtained from her books on 30 September 2024 after preparing the trading account.

	$
Gross profit	360 000
Drawings	45 000
Capital	651 900
Land and buildings, at cost	600 000
Furniture and fittings, at cost	100 000
Motor vans, at cost	200 000
Provision for depreciation on 1 October 2023:	
Fixture and fittings	37 000
Motor vans	48 000
Trade payables	33 000
Trade receivables	60 000
Packing materials	5 000
Salaries and wages	50 000
Insurance	8 000
Inventory, 30 September 2024	25 000
Electricity and water	10 000
Provision for doubtful debts, 1 October 2023	4 000
Bank	30 900

Additional information on 30 September 2024:

(i) The value of unused packing materials was $200.
(ii) $4 150 was not yet paid for salaries.
(iii) The provision for doubtful debts is to be adjusted to 5% of trade receivables.
(iv) Depreciation for the year is to be charged as follows:
- Fixtures and fittings at 20% per annum on the net book value.
- Motor vehicles at 12% per annum on cost.

(v) There was no record in the books of $20 000 received by bank transfer on 30 September 2024, as a short term loan from Empower Bank.

(a) Prepare D. Makanaka's Income Statement (Statement of Profit or Loss) for the year ended 30 September 2024. [7]

(b) Prepare D. Makanaka's Statement of Financial position as at 30 September 2024. [12]

(c) Give any **one** type of business organisation which is found in Zimbabwe other than of a sole proprietor. [1]

2 **(a)** Name the ethics described below:

(i) A bookkeeper not disclosing business information without permission. [1]

(ii) A business submitting audited financial statements to ZIMRA for tax purposes on time. [1]

(iii) Employees who work adhering to rules and regulations of responsible authorities. [1]

(iv) A manager who acquires a higher qualification to improve on quality service delivery. [1]

(b) Mukani Supermarket has two departments, the grocery and butchery departments. The following balances were extracted from its books on 31 December 2024.

	Grocery	Butchery
	$	$
Sales	17 000	15 500
Purchases	9 000	7 000
Inventory (01/01/2024)	2 500	3 000
Inventory (31/12/2024)	1 600	1 700
Returns inwards	2 000	1 000
Returns outwards	1 500	1 200
Carriage inwards	2 600	2 900

Prepare Mukani's Departmental Trading Account for the year ended 31 December 2024, in columnar form. [10]

(c) Calculate for the Grocery Department:

(i) Gross Profit percentage, [2]

(ii) Average inventory, [2]

(iii) Inventory turnover. [2]

3 The following Purchases Ledger Control Account appeared in the nominal ledger of Njabulo Enterprises on 31 December 2024.

Purchases Ledger Control Account

			$			$
2024				2024		
Dec 1	Balance b/d		250	Dec 1	Balance b/d	42 160
31	Cash and Bank	(i)	86 000	31	Purchases (ii)	61 000
	Discount Revenue	(iii)	4 600		Interest (iv)	1 430
	Contra Entries	(v)	2 000		Cash refund (vi)	1 200
	Returns	(vii)	3 700		Balance c/d	265
	Balance c/d		?			
2025						
Jan 1	Balance b/d		265			

(a) Calculate the balance which represents trade payables in the Statement of Financial Position at 31 December 2024. [2]

(b) Name the subsidiary books from which the entries marked (i) to (vii) were obtained. [7]

(c) Identify the accounting concepts applied on the following transactions.

(i) Machinery bought for $25 000 was recorded in the books for cost.

(ii) A provision for doubtful debts of $1 200 was created at the end of the year.

(iii) Goods bought on credit from Khumbula Ltd were debited to the Purchases account and credited to Khumbula Ltd account.

(iv) Inventory of unused stationery $500 was excluded in the Income Statement at 31 December 2024.

[4]

(d) E. Gavaza is preparing an invoice for goods sold to J. Rukweza. The invoice is not completed as shown below.

Invoice No 8878

INVOICE
E. Gavaza
25 Park Lane St
Harare
Cell: 99 77 555 444

To: .... (i)
14 Lobengula St
Bulawayo

28 July 2024

QUANTITY	DESCRIPTION	UNIT PRICE $	AMOUNT $
20	Laptops	1100	(ii) ....
15	Desktops	(iii)	13500
			35500
	Less 10% trade discount		(iv) ....
	TOTAL		(v) ....

TERMS AND CONDITIONS:
-25% interest will be charged on overdue accounts.
-A cash discount of 4% if account is settled within 25 days of invoice date.

Give the missing information marked (i) to (v). [5]

(e) J. Rukweza paid the amount owed on 15 August 2024.

Calculate the cash discount received. [2]

[Turn over

4 **(a)** The books of Neshiri Ltd showed the following information on 31 December 2024:

Issued Capital	$
1 000 000 Ordinary shares of $0,50 each	500 000
400 000, 10% Preference shares of $1 each	400 000
15% Debentures	100 000
Retained profit, 1 January 2024	50 000
General Reserve	70 000
Profit for the year before debenture interest	137 000

Additional information

- The preference dividends were paid in December 2024.
- On 31 December 2024, the directors proposed a dividend of $30 000 for Ordinary shareholders.
- $25 000 is to be transferred to General Reserve.

Prepare:

(i) A Statement of changes in equity for the year ended 31 December 2024. (Totals column is not required). [5]

(ii) A Statement of Financial position extract as at 31 December 2024, showing the shareholders' funds. [5]

(b) Muchena Ltd had the following balances obtained from its books on 1 January 2024.

	$
Vehicles at cost	120 000
Provision for depreciation	70 000

On 30 June 2024, the company sold all vehicles in existence at $90 000 cash. On the same date, new vehicles were bought from R. Harris for $300 000.

Vehicles are depreciated at the rate of 10% per annum on cost for all assets in existence at year end.

For the year ended 31 December 2024, prepare the

(i) Vehicles account, [3]

(ii) Provision for depreciation account, [3]

(iii) Disposal account. [4]

5 **(a)** Complete the table below:

Trading Business Terms	**Non-Trading Organisation Terms**
Example: Cash book	Receipts and payments account
(i) Capital	……………………………… [1]
(ii) Net profit for the year	……………………………… [1]
(iii) Income statement	……………………………… [1]

(b) The following balances appeared in the books of Sisonke High School on 30 April 2025,

	1 May 2024	30 April 2025
	$	$
Inventory: tuckshop	3 100	2 650
Van	8 000	8 000
Tuckshop trade payables	12 500	11 400
Furniture	4 250	4 250
Insurance prepaid	310	290
Fees in arrears	690	380
Fees prepaid	145	700

The transactions given below took place during the year ended 30 April 2025:

Tuckshop sales	$37 840
Cash paid to tuckshop suppliers	$27 300

(i) Calculate the Accumulated Fund on 1 May 2024. [3]

(ii) Prepare a tuckshop trading account for the year ended 30 April 2025. [4]

(c) The Statement of Financial position extract given below was taken from the Financial records of M. Manyowa's business as at 31 December 2024.

Statement of financial position extract as at 31 December 2024.

	$	$
Financed by		
Capital		50 000
Add net profit		14 000
		64 000
Current liabilities		
Trade payables		3 000
		67 000

After the preparation of the financial statements it was discovered that the following transactions had not been recorded.

1. Manyowa took $800 cash from the business bank account for personal use.
2. The business paid Gaini Wholesalers, a supplier $2 000 by cheque.
3. The owners deposited $8 000 into the business bank account as additional capital.

Prepare

(i) journal entries to correct the above errors, [6]

(ii) a revised statement of financial position extract after the correction of the errors. [4]